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- 3 Production Cost Price Drivers** Rising pulp prices in the EU drove an increase in kraftliner prices.
- 4 Other Price Drivers** Container ocean freight rates extended their five-month uptrend.
- 6 Appendix** Table of prices for packaging paper and raw materials.

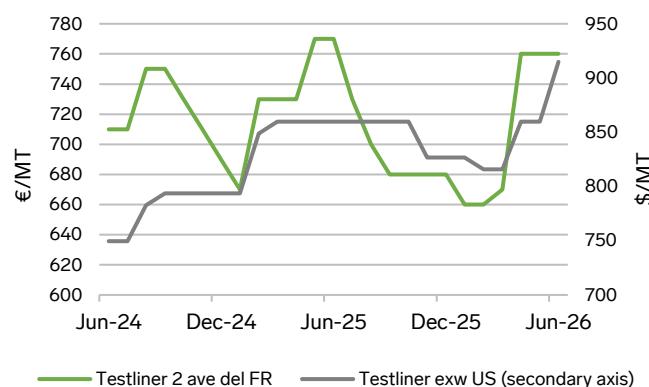
Key Takeaways

- Prices for packaging paper were stable in June in the EU amid weak demand, with the exception of kraftliner**, which rose 6% month over month (MOM), reflecting further increases in pulp costs. Pulp prices across various grades rose in June amid reduced supply. Meanwhile, waste paper prices changed little, weighed down by soft demand.
- Easing military activity in the Middle East reduced geopolitical risks and brought lower transportation costs along with expectations of reduced energy expenses in the EU.** As a result, demand levels declined after several months of elevated activity, during which consumers had sought to hedge risks by ordering excess volumes.
- Containerboard pricing power kept building in May in the US.** Kraftliner producers lined up a June increase on capacity cuts and rising input costs, testliner margins eased as Kruger's Quebec mill restart returned capacity to the market, and cartonboard producers kept cutting capacity rather than prices amid persistent oversupply.
- Cost pressures stayed in focus in the US.** OCC eased to \$117.41/MT and SBSK pulp fell to \$1,515/MT, its first decline since December.

Tight supply and steady demand enabled testliner prices to rise in the US in June, despite a decline in recovered paper (OCC) prices.

Testliner price trends

	YOY	MOM	June Monthly Price
EU	-1.3%	0.0%	€760/mt
	-€10	€0	
US	+6.4%	+6.4%	\$915/mt
	+\$55	+\$55	



Source: Expana

Market Sentiment for EU



- Sentiment in the EU remained steady. Sources believe price increases are possible only for kraftliner, provided pulp prices continue to rise. At the same time, a rise in waste paper prices, which could provide momentum for price growth in recycled-grade paper, is not expected, say market players.
- Energy costs remain elevated, and with the conflict in Iran still unresolved, sentiment remains steady.
- A decline in fuel prices will reduce transportation costs across the entire supply chain, note sources.

Market Sentiment for US



- US paper market sentiment in June strengthened from steady to firm after prices rose in June and remained supported by elevated input costs from the Iran conflict, including OCC, fuel, energy and chemicals.
- Paper production cuts maintain a steady trend, bringing supply into balance. As a result, market participants believe that tight paper supply could drive further price increases in July, as demand is expected to remain stable.

Europe

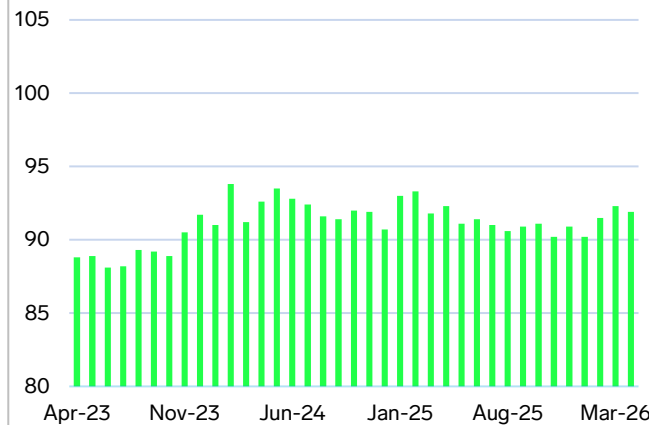
- **Production of paper and paper products in the EU declined 0.4 MOM and also fell 0.4% year over year (YOY) in April.** Despite market participants' expectations, weak demand did not incentivize producers to ramp up output. Furthermore, high production costs and intense competition are keeping margins at low levels and restraining production growth.
- **A reduction in geopolitical risks stemming from the negotiation process and ceasefire between the US and Iran weighed on paper demand,** as in March and April consumers had focused on hedging risks by contracting volumes ahead of time. As a result, demand in May and June came in below expectations. On the consumption side, food manufacturers were the standout sector, showing steady demand.

US

- **US paper production eased further in May, with the paper manufacturing index slipping to 78.5 from 79.1 in April,** a second straight monthly decline and roughly 3% below the year-ago level. Capacity utilization followed the same path, falling to 77.1% from 77.7%, also its second consecutive monthly drop and about 1.7 points below a year ago. Both metrics remain well short of pre-pandemic norms, reflecting the cumulative impact of nearly 10% of North American capacity closures announced in 2025.

Paper production dipped slightly in April, as demand was moderate and producers sought to keep the market from overproducing.

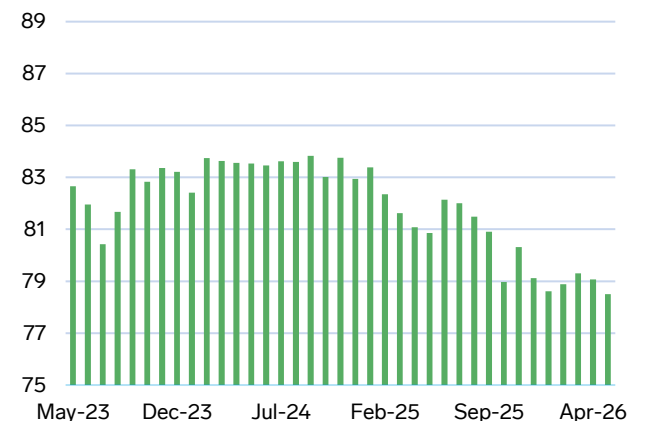
Manufacture of Paper and Paper products in EU (Index, 2021=100)



Source: Eurostat

US paper production eased further in May, with the paper manufacturing index slipping to 78.5 from 79.1 in April,

Manufacture of Paper in US (Index, 2017=100)



Source: Board of Governors of the Federal Reserve System (US)



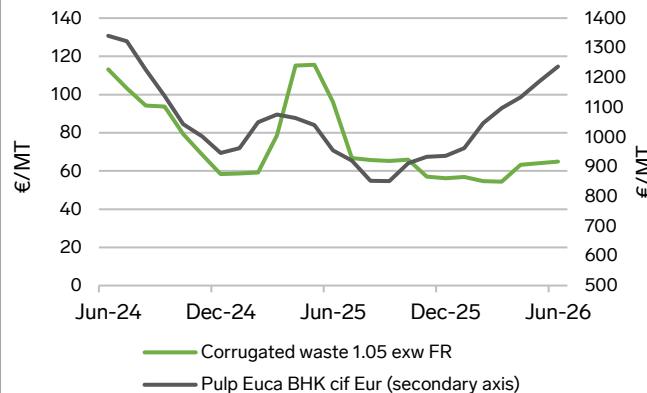
More than 60% of all packaging is made from paper and cardboard. Kraftliner and Testliner together account for about half of this volume.

Europe

- **Price increases continued for Eucalyptus BHK pulp, which rose 4% MOM and 30% YOY, driving up production costs for paper containing cellulose.** Supply was tight due to production cuts at several European mills that reduced capacity or halted operations. Softwood kraft bleached (NBSK) pulp prices rose 1% MOM and 6% YOY, also supporting higher production costs.
- **Waste paper prices rose 2% MOM but remain more than 30% lower YOY.** Reduced paper production is reflected in weak demand, which makes it difficult for waste paper suppliers to raise prices.
- **In Europe, natural gas prices remain high,** which sustains high costs for paper production and raw materials processing. At the same time, electricity prices are seasonally declining, partially reducing energy costs for paper production.

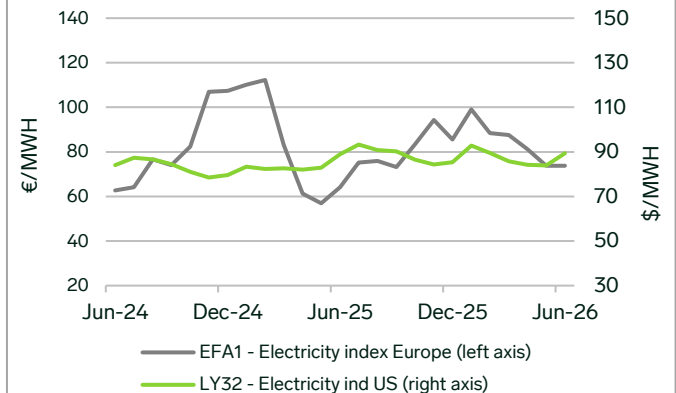
BHK pulp continued to rise in price, feeding through into higher production costs for kraftliner.

Paper raw materials price in the EU



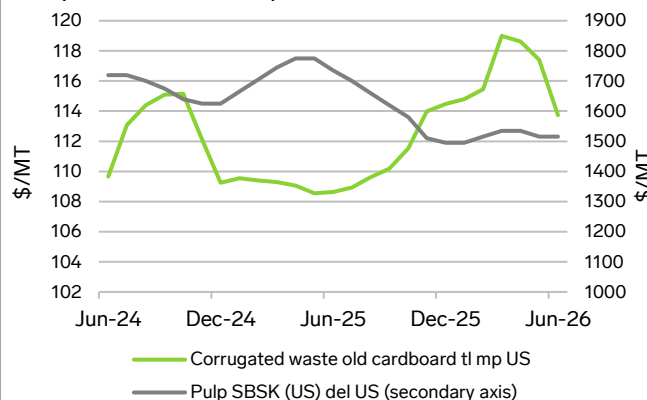
Rising cooling demand in Europe and in the US drove electricity prices higher.

Electricity prices



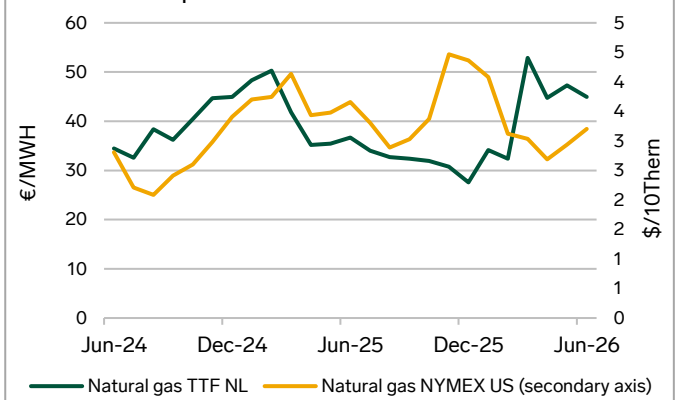
Prices for waste paper continued to decline in the US, reflecting lower raw material costs.

Paper raw materials price in the US



Natural gas prices in the EU remained high, while prices in the US rose, bringing elevated costs.

Natural Gas prices



US

- **OCC prices eased slightly in June to \$114/mt from \$117/mt in May,** reflecting the third straight month of decline. SBSK pulp prices remained stable at \$1,515/mt in June. NBSK pulp prices also remained stable at \$1,570/mt.
- In the US, electricity and natural gas prices continued to move upwards throughout the month, diverging from prices in Europe, with sources pointing to increased cooling demand with the arrival of warmer weather.

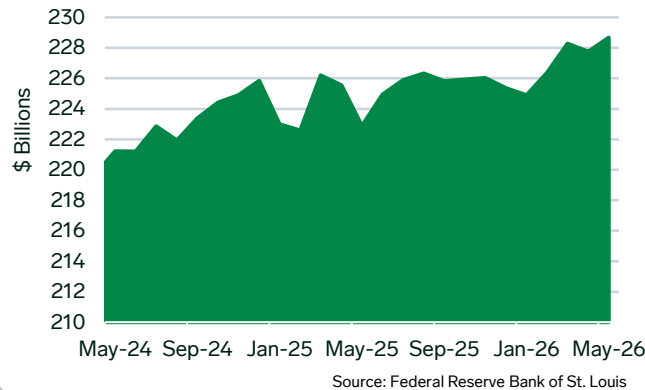
- Real (inflation-adjusted) **retail sales** in the US rose 2.6% YOY in May 2026, maintaining April's pace and recording the fourth consecutive month of positive real growth. Real retail trade volumes in the Eurozone rose 1.6% YOY in May 2026, rebounding from a revised 0.9% YOY in April, signaling moderate improvement in consumer activity and providing cautious support for demand for paper packaging in the second half of the year.
- Against the backdrop of easing tensions in the Middle East, fuel prices declined in June, feeding through into lower **freight transportation** costs. Nevertheless, July saw strong demand for container ocean shipping, which supported a five-month uptrend in container ocean freight rates.

Macroeconomics

- In the US, **inflation** was 4.2% YOY in May, accelerating from 3.8% YOY in April, up 0.5% MOM. Energy inflation again fueled the headline acceleration, registering 23.5% YOY, climbing 3.9% MOM. In the Eurozone, inflation was 3.2% YOY in May, accelerating from 3.0% YOY in April. Energy inflation was 10.8% YOY, decelerating 1.2% MOM. In China, inflation was 1.2% YOY, unchanged from the April figure and below market sources' expectations of 1.3%.
- The Expana **USDx** strengthened notably throughout June, driven upwards by geopolitical safe-haven demand and hawkish sentiment from the Federal Reserve regarding interest rates. Market sources expect potentially two interest rate hikes in H2 2026 due to accelerating inflation.

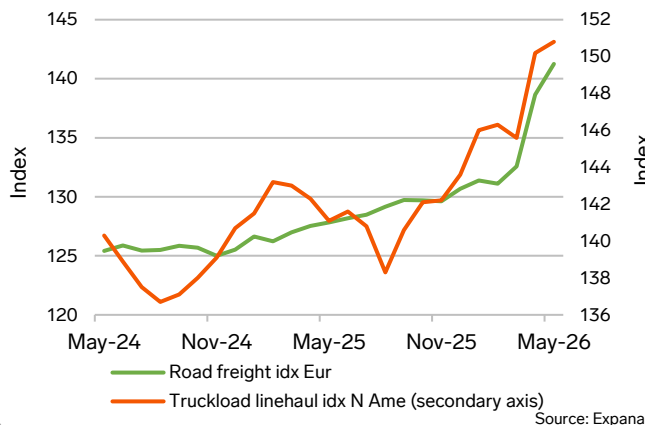
In the US, real retail sales continued to rise, reaching historic peaks in May.

Real Retail and Food Services Sales US (seasonally adjusted)



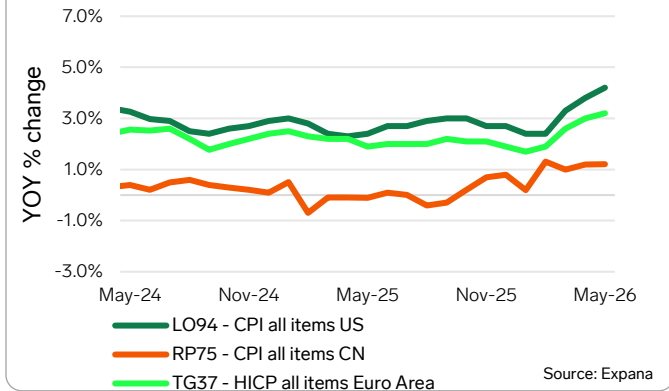
Road freight indices (latest available data) continued to rise in May.

Road Freight



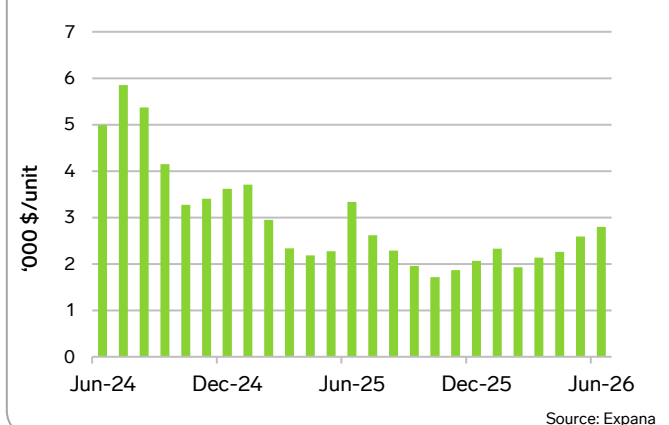
Inflation continues to accelerate due to higher energy prices.

Global CPIs expressed as YOY % change



Seasonal peak demand is driving up freight rates.

Shipping composite index 40 ft container



Abbreviations and Acronyms

KG	Kilograms
MT	Metric Tons
EUR	Euro
USD	United States Dollar
NBSK	Northern bleached softwood kraft
CEPI	Confederation of European Paper Industries
AF & PA	American Forest and Paper Association
EPR	Extended Producer Responsibility
MWH	megawatt hours
MOM	month-over-month
YOY	year-over-year
ft	foot

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Market Sentiment Definitions:

Firm — Demand exceeds supply, prices moving higher.

Steady — Supplies and demand generally in good balance—prices unchanged.

Weak — Supplies plentiful for demand and prices moving lower.

Methodology, Feedback & Forward-Looking Statements:

Expana is committed to ensuring all published Expana Benchmark Prices are representative of market value, and in line with Expana's transparency principles, we encourage industry participants to reach out to the PRA Team. Any feedback and comments related to this document and the prices contained within are welcomed and should be directed to PRA@expanamarkets.com.

For details on the methodology used to assess the Expana Benchmark Prices, visit this [link](#).

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Price Movements June 2026

July 2026

PAPER PRICES	EXPANA SERIES	PRICE	MOM	YOY	MOM%	YOY%	12 MONTH TREND
Kraftliner 175g del FR	SZ173	€ 1 025/mt	+ €60/mt	+ €60/mt	+6.2%	+6.2%	
Testliner 2 ave del FR	SZ176	€ 760/mt	0	- €10/mt	0.0%	-1.3%	
Cartonboard GC2 coated del EU hi	NZ93	€ 1 165/mt	0	- €40/mt	0.0%	-3.3%	
Cartonboard GD2 lined del EU hi	NZ95	€ 785/mt	0	- €20/mt	0.0%	-2.5%	
Kraftliner exw US	PA06	\$ 1 058/mt	+ \$55/mt	+ \$44/mt	+5.5%	+4.3%	
Testliner exw US	PA07	\$ 915/mt	+ \$55/mt	+ \$55/mt	+6.4%	+6.4%	
Cartonboard SBB exw US	PA14	\$ 1 389/mt	+ \$11/mt	- \$22/mt	+0.8%	-1.6%	
Cartonboard FBB kraft exw US	PA85	\$ 1 521/mt	0	+ \$44/mt	0.0%	+3.0%	
PULP PRICES	EXPANA SERIES	PRICE	MOM	YOY	MOM%	YOY%	12 MONTH TREND
Pulp NBSK del Eur	EX24	€ 1 430/mt	+ €15/mt	+ €80/mt	+1.1%	+5.9%	
Pulp SBSK (US) del US	PX02	\$ 1 515/mt	0	- \$220/mt	0.0%	-12.7%	
PAPER WASTE PRICES	EXPANA SERIES	PRICE	MOM	YOY	MOM%	YOY%	12 MONTH TREND
Corrugated waste 1.05 exw FR	9G03	€ 65/mt	+ €1/mt	- €31/mt	+1.6%	-32.4%	
Paper waste mix 1.02 exw FR	9G01	€ 36/mt	+ €1/mt	- €21/mt	+1.7%	-36.6%	
Corrugated waste old cardboard tl mp US	SZ86	\$ 114/mt	- \$4/mt	+ \$5/mt	-3.1%	+4.7%	